

Notes: Bertrand and Kramarz (QJE, 2002)
Does Entry Regulation Hinder Job Creation? Evidence from the French Retail Industry

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1 Big picture

- **Question.** Does entry regulation in product markets reduce job creation? The paper studies whether the French commercial zoning system, which restricted the entry and expansion of large retail stores, slowed employment growth in the retail sector.
- **Setting.** France introduced the *Loi Royer* in 1973. Beginning in 1974, large retail stores and major store extensions needed approval from regional zoning boards before construction could proceed.
- **Why retail?** Retail trade is labor intensive and employs many low-wage workers. If product-market restrictions protect incumbent firms and raise markups, the employment effects should be visible in this sector.
- **Main empirical idea.** The regulation is decentralized across *departements*. The paper uses variation across departments and over time in approval decisions, while controlling for department fixed effects and year effects.
- **Main result.** Departments where boards approved fewer stores experienced slower retail employment growth. This holds in OLS specifications and in IV specifications that use political representation as an instrument for approvals.
- **Mechanism.** Stronger entry deterrence increased concentration among large food retailers and raised food prices. Higher concentration is negatively related to food retail employment.
- **Interpretation.** Europe's low employment growth may not be explained only by labor-market institutions. Product-market rules that restrict entry can also reduce employment.
- **Takeaway.** Entry barriers protected small retailers and incumbents, but the cost was fewer retail jobs, greater concentration, and higher prices.

2 Incremental contribution of the paper

- **From labor-market explanations to product-market explanations.** Much of the European employment debate focused on unions, minimum wages, unemployment benefits, and employment protection. This paper shows that product-market entry regulation is another empirically important margin.
- **A direct institutional setting.** Instead of using broad cross-country measures of regulation, the paper studies a specific law, a specific sector, and a specific administrative process.
- **A novel applications database.** The authors use detailed administrative data on more than 16,000 zoning applications from 1975 to 1998, including store size, location, specialty, brand name, and approval outcome.
- **Subnational identification.** The French system is useful because zoning boards operate at the department level, while most labor-market rules and many other policies are national. This helps separate entry regulation from national shocks.
- **Political economy instrument.** The paper links approval decisions to local political composition. Right-wing parties, supported by self-employed shopkeepers, are predicted to be more opposed to large-store entry than the Socialist Party.

- **Mechanism evidence.** The paper does not only estimate employment effects. It also shows that entry deterrence raised concentration and prices, and that concentration itself is associated with lower employment.
- **Policy relevance.** The findings imply that product-market deregulation may be a politically and economically important complement to labor-market reforms.

3 Data and measurement

3.1 DECAS applications database

- The Ministry of Economics and Finance maintained an exhaustive list of applications submitted to the regional zoning boards from the start of the Loi Royer.
- The paper uses applications submitted between 1975 and 1998.
- The data include brand name, store size in square meters, store specialty, department and city, whether the application is for creation/extension/conversion, and whether it was approved.
- The database contains a little more than 16,000 applications, roughly split between food and nonfood retail.
- The main regulation variables are the stock of approved retail space and the cumulative share of applications approved, typically lagged four years to allow for construction delays.

3.2 Labor Force Survey and employment outcomes

- Employment outcomes come from the French Labor Force Survey, conducted annually by INSEE.
- The analysis focuses on 95 metropolitan French departments and the period 1980–1998.
- Retail employment includes all people working in retail, including family members helping in stores even if they do not report strictly positive earnings.
- Some specifications examine food retail, nonfood retail, hotels and restaurants, total employment, weekly earnings, worker composition, and the share of retail workers in small firms.

3.3 Political, price, and concentration data

- Political representation comes from national legislative election data by department.
- The main political variables are cumulative vote shares for RPR–UDF, PS, and smaller parties up to year $t - 4$.
- Food retail prices come from micro price data used by INSEE to compute the CPI, available for 1994–1998.
- Retailer concentration is measured using the brand names of approved food stores, with one-firm concentration, two-firm concentration, and Herfindahl indices.

3.4 Core variables

- $\log(\text{approvals})_{i,t-4}$: log stock of approved retail space in department i up to year $t - 4$.
- $\log(\text{applications})_{i,t-4}$: log stock of applications submitted up to year $t - 4$.
- $\text{share approved}_{i,t-4}$: cumulative approval rate up to year $t - 4$.
- X_{it} : time-varying demographic controls, including age composition and rural/urban structure.
- Political instruments: cumulative department vote shares by party, especially RPR–UDF and PS.

4 Models and empirical specifications

4.1 Basic fixed-effects employment model

The first main specification relates retail employment to approved store space, conditional on applications:

$$\log(\text{retail emp}_{it}) = \theta \log(\text{approvals})_{i,t-4} + \psi \log(\text{applications})_{i,t-4} + \alpha_i + \beta_t + \gamma' X_{it} + \varepsilon_{it}. \quad (1)$$

- α_i are department fixed effects.
- β_t are year fixed effects.
- X_{it} controls for age and rural/urban composition.
- θ is the main coefficient: if approvals are employment-enhancing, $\theta > 0$.

Interpretation: Conditional on applications, a department with a more permissive board should have more approved retail space and, if entry regulation matters, more retail employment.

4.2 Approval-rate specification

The second main OLS specification uses the approval share directly:

$$\log(\text{retail emp}_{it}) = \theta \text{share approved}_{i,t-4} + \alpha_i + \beta_t + \gamma' X_{it} + \varepsilon_{it}. \quad (2)$$

Interpretation: The approval share is a direct measure of board leniency. A higher approval rate means weaker deterrence of entry.

4.3 Political first stage

The IV strategy predicts approvals using political representation:

$$\log(\text{approvals})_{i,t-4} = \pi_R \text{RPRUDF}_{i,t-4} + \pi_S \text{PS}_{i,t-4} + \Pi' \text{OtherParties}_{i,t-4} + \alpha_i + \beta_t + \gamma' X_{it} + u_{it}. \quad (3)$$

- RPR–UDF representation is expected to reduce approvals because these parties draw support from self-employed shopkeepers.
- PS representation is expected to increase approvals because Socialist politicians are less aligned with incumbent small retailers.

4.4 Second-stage IV model

The second stage replaces approvals with politically predicted approvals:

$$\log(\text{retail emp}_{it}) = \theta \log(\widehat{\text{approvals}})_{i,t-4} + \psi \log(\text{applications})_{i,t-4} + \alpha_i + \beta_t + \gamma' X_{it} + \varepsilon_{it}. \quad (4)$$

Interpretation: The IV coefficient asks whether the component of approvals induced by politics affects employment.

4.5 Mechanism regressions

The paper also estimates regressions of the form

$$Y_{it} = \theta \text{Regulation}_{i,t-4} + \alpha_i + \beta_t + \gamma' X_{it} + \varepsilon_{it}, \quad (5)$$

where Y_{it} is concentration, price, or another labor-market outcome.

Interpretation: These regressions test whether entry deterrence works through concentration, prices, small-firm protection, or broader labor-market shifts.

5 Identification and empirical design

5.1 What the baseline design identifies

- The baseline design compares changes in retail employment across departments with different degrees of approval leniency.
- Department fixed effects remove time-invariant department differences, such as initial retail structure.
- Year fixed effects remove national shocks, including national labor-market policies and aggregate economic trends.
- Time-varying controls allow demographic and urban/rural changes to affect employment.

5.2 Main endogeneity concerns

- **Applications may be endogenous.** A strict board may discourage applications, so observed applications may understate desired entry.
- **Repeated applications may inflate demand.** Rejections may create repeated applications for the same viable market opportunity.
- **Approvals may respond to expected demand.** Boards may approve more projects when they expect retail demand to grow.
- **Application quality may vary.** Demand shocks may attract marginal applicants, affecting observed approval rates.

5.3 Political IV strategy

- The zoning boards include locally elected politicians, who often determine the median vote.
- Self-employed shopkeepers tend to support nonextreme right-wing parties, especially RPR and UDF.
- Therefore, greater RPR–UDF representation should predict fewer approvals; greater PS representation should predict more approvals.
- Because the instrument uses political representation up to $t - 4$, it is less likely to reflect contemporaneous retail demand shocks.

5.4 Validity checks

- The first stage strongly predicts approvals and has the expected partisan pattern.
- Overidentification tests do not reject instrument validity in the IV specifications.
- Results are robust to controlling for the current unemployment rate and recent political composition.
- A placebo outcome, employment in hotels and restaurants, is not affected by the politically predicted approval shock.

Bottom line: The design is not a randomized experiment, but the combination of department variation, fixed effects, political instruments, and placebo checks makes the employment interpretation credible.

6 Tables and figures

6.1 Table I: Average annual employment growth rates

Read:

- Retail trade and hotels/restaurants had similar employment growth in 1967–1978.
- After the Loi Royer became relevant, retail employment growth fell to about 0.1 percent per year.
- Hotels and restaurants grew much faster after 1979, at about 1.7 percent per year.
- The comparison is useful because both sectors employ many low-wage workers, but only retail was directly targeted by zoning regulation.

Economic message: The raw time-series evidence suggests a striking post-regulation divergence. It is not causal by itself, but it motivates the department-level analysis.

6.2 Table II: Determinants of approval rates across departments

Read:

- Approval rates differ systematically across departments.

- Larger departments approve more applications.
- Older and more rural/agricultural departments approve fewer applications.
- Richer departments, measured by average weekly earnings, approve more.

Economic message: Approval behavior is not random. Boards in different local economic and demographic environments behave differently, which motivates the use of fixed effects and controls.

TABLE I
AVERAGE ANNUAL EMPLOYMENT GROWTH RATES 1967–1998 (IN PERCENT)

Sector:	Retail trade	Hotels and restaurants
Period:		
1967–1978	.6	.8
1979–1998	.1	1.7

(a) Table I: aggregate employment-growth motivation

TABLE II
DETERMINANTS OF APPROVAL RATES ACROSS DEPARTEMENTS

Dependent variable: mean annual approval rate by département (1975–1998)						
	(1)	(2)	(3)	(4)	(5)	(6)
	Log total population	Average age	Fraction over 60 years old	Fraction working in agriculture	Fraction living in rural areas	Average log weekly earnings
Determinants:	.119 (.014)	-.022 (.004)	-.997 (.198)	-.568 (.104)	-.304 (.059)	.431 (.120)
Adjusted R^2	.431	.220	.206	.235	.212	.112

(b) Table II: cross-department approval-rate determinants

6.3 Table III: Entry regulation and retail employment, basic results

Read:

- The stock of approved retail space is positively related to retail employment.
- With age and urban/rural controls, the coefficient on $\log(approvals)_{t-4}$ is about 0.080.
- The approval-rate specification also yields positive effects: a higher approval share predicts more retail employment.
- The result is robust to assuming that approvals depreciate after 15 years or after 10 years.
- Department-clustered standard errors still support the main finding.

Economic message: Departments with more permissive entry regulation have more retail employment. The estimated elasticity is economically meaningful and stable across alternative approval-stock definitions.

6.4 Table IV: Food and nonfood retail

Read:

- The approval-employment relationship holds separately for food and nonfood retail.
- Food retail has a larger coefficient on approved space, around 0.106.
- Nonfood retail also shows a positive relationship, around 0.061.
- Approval shares are also positively related to employment in both retail categories.

Economic message: The main result is not driven by a single retail subsector. Both food and nonfood retail appear constrained by entry regulation.

TABLE III
EFFECT OF ENTRY REGULATION ON RETAIL EMPLOYMENT BASIC RESULTS

Additional controls:	Dependent variable: log(retail employment)		
	(1)	(2)	(3)
	None	Age demographics Rural/urban demographics	Age demographics Rural/urban demographics Unemployment rate
log(approvals) _(t-4) (in square meters)	.085 (.018) [.026]	.080 (.018) [.025]	.080 (.017) [.025]
share approved _(t-4)	.182 (.049) [.064]	.169 (.047) [.061]	.163 (.047) [.060]
log(15-year approvals) _(t-4) (in square meters)	.088 (.017) [.026]	.080 (.017) [.025]	.080 (.017) [.025]
15-year share approved _(t-4)	.191 (.047) [.064]	.175 (.046) [.061]	.166 (.045) [.061]
log(10-year approvals) _(t-4) (in square meters)	.070 (.015) [.021]	.063 (.015) [.021]	.062 (.014) [.021]
10-year share approved _(t-4)	.167 (.041) [.067]	.151 (.040) [.067]	.141 (.040) [.067]

(a) Table III: basic retail-employment results

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TABLE IV
EFFECT OF ENTRY REGULATION ON RETAIL EMPLOYMENT:
FOOD RETAIL AND NONFOOD RETAIL

Dependent variable:	(1)	(2)
	log (food retail employment)	log (nonfood retail employment)
log(approvals) _(t-4) (in square meters)	.106 (.018) [.040]	.061 (.023) [.034]
share approved _(t-4)	.125 (.067) [.125]	.163 (.057) [.079]

(b) Table IV: food and nonfood retail

6.5 Table V: Robustness results

Read:

- Future approvals do not predict current employment, which weakens a reverse-causality interpretation.
- Earlier approvals have at least as large an effect as later approvals, suggesting that effects are not merely transitory.
- The result survives interactions between department fixed effects and the real minimum wage.
- Approvals have no meaningful effect on hotels and restaurants, a natural comparison sector.
- Allowing department-specific trends reduces but does not eliminate the approval-employment relationship.

Economic message: The robustness tests address the most direct alternative stories: reverse causality, short-run job displacement, minimum-wage shocks, low-wage service-sector shocks, and department trends.

6.6 Table VI: Political first stage

Read:

- RPR–UDF political representation is associated with fewer approvals.
- PS representation is associated with more approvals.
- The difference between the RPR–UDF and PS effects is statistically significant.
- The political variables are jointly significant, providing a relevant first stage.

- Minor-party coefficients are less stable, but the main right-versus-left contrast is clear.

Economic message: The first stage supports the political-economy mechanism: parties with stronger ties to small shopkeepers are more likely to deter large-store entry.

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	(1)	(2)	(3)	(4)	(5)
<i>Dependent variable:</i>	<i>log (retail employment)</i>			<i>log(hotels & restaurants employment)</i>	<i>log (retail employment)</i>
$\log(\text{approvals})_{(t-4)}$ (in square meters)	.086 (.018) [.027]	—	.053 (.028) [.029]	.005 (.023) [.044]	.054 (.022) [.029]
$\log(\text{approvals})_{(t+1)}$ (in square meters)	-.003 (.022) [.034]	—	—	—	—
$\log(\text{approvals})_{(t-7)}$ (in square meters)	—	.105 (.028) [.044]	—	—	—
$\log(\text{approvals})_{(t-4)} - \log(\text{approvals})_{(t-7)}$	—	.076 (.028) [.046]	—	—	—
département F.E. * log(minimum wage)	no	no	yes	no	no
département F.E. * year	no	no	no	no	yes
Adjusted R^2	.936	.935	.943	.869	.945
N	1,588	1,403	1,604	1,683	1,683

(a) Table V: robustness checks

TABLE VI
FIRST-STAGE REGRESSIONS: EFFECT OF POLITICAL REPRESENTATION ON APPROVALS

	(1)	(2)	(3)	(4)
<i>Dependent variable:</i>	<i>log(approvals)_{t-4}</i>			<i>log(10-year approvals)_{t-4}</i>
cumulated fraction RPR-UDF _(t-4)	-.047 (.026) [.110]	.083 (.101) [.279]	-.222 (.046) [.189]	.147 (.126) [.338]
cumulated fraction PS _(t-4)	.318 (.037) [.142]	.447 (.116) [.340]	.522 (.064) [.246]	.909 (.158) [.530]
cumulated fraction various right _(t-4)	—	.502 (.127) [.323]	—	.555 (.144) [.376]
cumulated fraction various left _(t-4)	—	-.545 (.295) [.622]	—	.658 (.234) [.642]
cumulated fraction extreme-right _(t-4)	—	.329 (.162) [.387]	—	.472 (.209) [.558]
cumulated fraction extreme-left _(t-4)	—	.101 (.104) [.266]	—	.360 (.135) [.450]
cumulated fraction green party _(t-4)	—	-.544 (.258) [.783]	—	-.152 (.327) [1.023]
Adjusted R^2	.912	.913	.853	.855
F -statistic for the nullity of instruments (p -value)	(.000)	(.000)	(.000)	(.000)
F -statistic for RPR-UDF = PS (p -value)	(.000)	(.000)	(.000)	(.000)

(b) Table VI: political first stage

6.7 Table VII: IV results

Read:

- IV estimates are positive and statistically significant.
- The IV coefficients are larger than the OLS estimates, suggesting that OLS may understate the effect of entry approvals.
- The results are robust across the two instrument sets and using 10-year approval stocks.
- Adding unemployment and recent political controls leaves the main relationship positive.
- The hotel-and-restaurant placebo coefficient is essentially zero.

Economic message: The IV evidence strengthens the causal interpretation: politically induced entry approvals raise retail employment, while the same instruments do not predict employment in a comparison sector.

6.8 Table VIII: Concentration and prices in food retail

Read:

- More approved entry is associated with lower food-retail concentration.

- Economic message:** Entry regulation appears to protect market power. By limiting new stores, it raises concentration and prices, which helps explain slower employment growth.

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	(1)	(2)	(3)	(4)	(5)	(6)	(7)
							<i>log(hotels & restaurants employment)</i>
<i>Dependent variable:</i>	IV1	IV2	IV1	IV2	IV2	IV2	IV2
<i>log(approvals)_(t-4)</i> (in square meters)	.132 (.054) [.057]	.134 (.047) [.049]	—	—	.127 (.046) [.047]	.104 (.038) [.039]	.000 (.063) [.068]
<i>log(10-year approvals)_(t-4)</i> (in square meters)	—	—	.122 (.043) [.047]	.123 (.039) [.043]	—	—	—
political composition (<i>t</i> , <i>t</i> - 1, <i>t</i> - 2, and <i>t</i> - 3)	no	no	no	no	no	yes	yes
unemployment rate	no	no	no	no	yes	yes	no
χ^2 Overidentification test (<i>p</i> -value)	(.477)	(.901)	(1.00)	(.626)	(.694)	(.969)	(.143)

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	(1)	(2)	(3)	(4)
	<i>1-firm</i>	<i>2-firm</i>		
<i>Dependent variable:</i>	<i>concentration</i>	<i>concentration</i>	<i>Herfindahl</i>	
	<i>ratio</i>	<i>ratio</i>	<i>index</i>	<i>log(price)</i>
log(approvals)	-.071	-.054	-.075	-.017
(in square meters)	(.008)	(.007)	(.009)	(.004)
	[.022]	[.017]	[.025]	[.005]
share approved	-.139	-.078	-.146	-.045
	(.032)	(.026)	(.035)	(.020)
	[.082]	[.063]	[.089]	[.021]
N	1890	1890	1890	90344

6.9 Table IX: Concentration and food retail employment

- Food retail employment is negatively related to concentration.
- The one-firm concentration ratio, two-firm concentration ratio, and Herfindahl index all have negative coefficients.
- When concentration and approvals are included together, both remain negatively/positively related to employment in the expected directions.
- Including concentration reduces the direct approvals coefficient but does not eliminate it.

Economic message: Concentration is an important channel, but not the only one. Entry approvals matter partly by reducing concentration, and partly through other mechanisms such as product differentiation, anchor-store spillovers, and lower shopping-time costs.

- Overall employment responds positively to approvals, especially in the IV specification, but estimates are less precise than for retail employment.

- Retail wages do not rise with approvals; the point estimates are slightly negative and insignificant.
- Approvals reduce the fraction of male workers, suggesting that deregulation may expand female employment in retail and possibly beyond retail.
- Approvals have little consistent effect on youth employment.
- Approvals reduce the fraction of retail workers in small firms, confirming that the regulation protected small-store market share.

Economic message: The policy primarily reallocates jobs and market share within retail, but it may also affect broader employment and female labor-market participation. It clearly protects small firms, consistent with the law’s stated objective.

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	Dependent variable: <i>log(food retail employment)</i>						
	(1)	(2)	(3)	(4)	(5)	(6)	(7)
<i>log(approvals)_(t-4)</i> (in square meters)	.106 (.018) [.040]	—	.087 (.019) [.037]	—	.085 (.019) [.037]	—	.086 (.038) [.038]
1-firm concentration ratio _(t-4)	—	-.278 (.060) [.129]	-.168 (.062) [.097]	—	—	—	—
2-firm concentration ratio _(t-4)	—	—	—	-.376 (.072) [.166]	-.258 (.075) [.130]	—	—
Herfindahl index _(t-4)	—	—	—	—	—	-.250 (.054) [.117]	-.148 (.057) [.090]
Adjusted <i>R</i> ²	.854	.848	.851	.848	.852	.848	.851

(a) Table IX: concentration and employment

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TABLE X
EFFECT OF ENTRY REGULATION ON OTHER LABOR MARKET OUTCOMES:
COEFFICIENT ON *LOG(APPROVALS)_(t-4)* I.O. (*r-4*)

	(1)	(2)
	Basic	IV2
<i>Dependent variable:</i>		
<i>log(overall employment)</i>	.004 (.008) [.016]	.030 (.017) [.022]
<i>log(weekly earnings) (retail)</i>	-.009 (.009) [.012]	-.021 (.022) [.025]
<i>fraction male workers (retail)</i>	-.012 (.006) [.008]	-.011 (.012) [.013]
<i>fraction male workers (overall)</i>	-.002 (.001) [.002]	-.010 (.003) [.005]
<i>fraction young workers (retail)</i>	-.000 (.002) [.003]	.000 (.006) [.007]
<i>fraction young workers (overall)</i>	.000 (.001) [.001]	-.003 (.001) [.002]
<i>fraction in small firms (retail)</i>	-.015 (.008) [.014]	-.150 (.020) [.026]

(b) Table X: other labor-market outcomes

7 Short summary

- The paper studies whether French entry regulation reduced retail employment.
- The key institution is the 1973 Loi Royer, which required regional board approval for large retail stores and store extensions.
- The authors use a unique administrative database of zoning applications and approval decisions from 1975 to 1998.
- Basic fixed-effects estimates show that departments with more approved retail space had higher retail employment.
- Approval-rate specifications and depreciation-window specifications give similar results.
- The IV strategy uses political composition: right-wing parties tied to self-employed shopkeepers predict fewer approvals, while Socialist representation predicts more approvals.

- IV estimates confirm that approvals raise retail employment and pass placebo checks.
- Mechanism tests show that stricter entry regulation increases concentration and prices in food retail.
- Concentration is negatively associated with employment.
- The regulation protected small firms but hindered job creation.

8 Conclusion

8.1 Core conclusion

The paper concludes that entry regulation in the French retail industry hindered job creation. Departments whose zoning boards deterred large-store entry experienced slower retail employment growth. The effect appears in both OLS and IV designs and is robust to several alternative explanations.

8.2 Economic intuition

Entry restrictions protect incumbent retailers. Protection raises concentration and market power, which can reduce sales and employment. In retail, entry may also create jobs through product differentiation, anchor-store spillovers, lower prices, and lower shopping-time costs. Restricting entry blocks these channels.

8.3 Incremental contribution revisited

The paper’s key contribution is to show that product-market rules can affect employment in a concrete institutional setting. The evidence complements labor-market explanations of European unemployment by showing that entry barriers can be another important drag on job creation.

8.4 Policy implications

A policy debate focused only on labor-market reform may miss important employment barriers. Product-market deregulation can raise employment by increasing entry and competition. It may also be politically more feasible than labor-market deregulation because it does not directly cut worker protections.

8.5 Limitations

The paper studies one sector and one country, so the external validity to other settings depends on how binding and employment-relevant product-market restrictions are elsewhere. The IV strategy is persuasive but still requires the exclusion restriction that lagged political composition affects retail employment only through entry approvals, conditional on controls.

8.6 Takeaway

The Loi Royer was designed to protect small shopkeepers. Bertrand and Kramarz show that this protection came with real costs: fewer retail jobs, higher concentration, and higher prices. Product-market entry regulation can be a first-order labor-market issue.